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|                                         |       |                       |           |                                            |           |                  |        |                                    |                    |                           |               |                                           |                    |                                     |             |                     |                     |  |  |
|-----------------------------------------|-------|-----------------------|-----------|--------------------------------------------|-----------|------------------|--------|------------------------------------|--------------------|---------------------------|---------------|-------------------------------------------|--------------------|-------------------------------------|-------------|---------------------|---------------------|--|--|
| Rpt Date 22/Dec/2006                    |       |                       |           | Well Name/No Bilabri D4                    |           |                  |        | Section Name/No 12-1/4" Section #3 |                    |                           |               | Mud System SYN-TEQ (PARA)                 |                    |                                     |             |                     |                     |  |  |
| Job# 1                                  |       | Spud Date 09/Nov/2006 |           |                                            |           | MD 2382.00 m     |        |                                    |                    | Progress 222.00 m         |               |                                           |                    | Present Activity Drilling Formation |             |                     |                     |  |  |
| Operator Peak Petroleum Indust. Limited |       |                       |           | Company Rep James Blackmon/Peter Vermeulen |           |                  |        | Contractor Dolphin Drilling Ltd    |                    |                           |               | Contractor Rep Ally Tough / Terry Nanidis |                    |                                     |             |                     |                     |  |  |
| Field/Lease Bilabri                     |       |                       |           | Blk/Co/Parish OML - 122 / Nigeria          |           |                  |        | Area Offshore                      |                    |                           |               | Country/State Nigeria                     |                    |                                     |             | Rig BULFORD DOLPHIN |                     |  |  |
| Drilling Assembly                       |       |                       |           |                                            |           | Casing           |        |                                    | Volumes            | Pump Information          |               |                                           |                    |                                     |             |                     |                     |  |  |
| Bit Gauge in                            |       | Mfr                   |           | Bit Model                                  |           | OD in            | ID in  | Depth m                            | bbl                | Model                     |               | Liner in                                  | Stroke in          | Eff %                               | Vol/Stk bbl | Stk Rate SPM        | Circ Rate USgal/min |  |  |
| 12 1/4                                  |       | HCC                   |           | PDC                                        |           |                  | 19 1/2 | 172.50                             | Total Hole         | Continental Ensco FA-1600 |               | 6 1/2                                     | 12.00              | 97.0                                | 0.1194      | 90                  | 451                 |  |  |
| Drill Collars                           |       | Drill Pipe            |           | 36                                         | 31 3/4    | 262.00           | 1264.5 |                                    |                    | Continental Ensco FA-1600 |               | 6 1/2                                     | 12.00              | 97.0                                | 0.1194      | 90                  | 451                 |  |  |
| OD in                                   | ID in | Length m              | OD in     | ID in                                      | Length m  | 20               | 18 3/4 | 291.60                             | Active Pits        | Continental Ensco FA-1600 |               | 6 1/2                                     | 12.00              | 97.0                                | 0.1194      | 0                   |                     |  |  |
| 8 1/2                                   | 3     | 10.60                 | 5         | 4.276                                      | 2168.47   | 13 3/8           | 12.415 | 800.00                             | 452                |                           |               |                                           |                    |                                     |             |                     |                     |  |  |
| 8                                       | 2 3/4 | 74.99                 | 5         | 3                                          | 112.25    |                  | 12 1/4 | 2382.00                            | Tot Active         |                           |               |                                           |                    |                                     |             |                     |                     |  |  |
|                                         |       |                       |           |                                            |           |                  |        |                                    | 1716.5             |                           |               |                                           |                    |                                     |             |                     |                     |  |  |
|                                         |       |                       |           |                                            |           |                  |        |                                    | In Storage         | Surface to Bit            |               | 6.1 min/1092stks                          |                    | Total System                        |             | 80.0 min/14405stks  |                     |  |  |
|                                         |       |                       |           |                                            |           |                  |        |                                    | 834                | Bottoms Up                |               | 52.9 min/9528stks                         |                    |                                     |             |                     |                     |  |  |
| Mud Properties                          |       |                       |           |                                            |           | Max Ann Velocity |        |                                    | Hole Information   |                           |               |                                           |                    |                                     |             |                     |                     |  |  |
| Property                                |       | 1                     | 2         | 3                                          | 4         | AV Riser         |        | ft/min                             | Standpipe Pressure |                           | 3275 psi      |                                           | Water Depth        |                                     | 146.00 m    |                     |                     |  |  |
| Sample From                             |       | Reserve               | Flow Line | Active Pit                                 | Flow Line | AV Casing        |        | ft/min                             | Hole Flow          |                           | 903 USgal/min |                                           | Riser Booster Rate |                                     | USgal/min   |                     |                     |  |  |
| Check Time                              |       | 05:00                 | 05:00     | 17:15                                      | 22:50     | AV Open Hole     |        | ft/min                             | Solids Analysis    |                           |               |                                           |                    |                                     |             |                     |                     |  |  |
| MD m                                    |       | 2230.00               | 2230.00   | 2337.00                                    | 2365.00   | Vc Open Hole     |        | ft/min                             | Property           |                           | 1             | 2                                         | 3                  | 4                                   |             |                     |                     |  |  |
| TVD m                                   |       | 2077.26               | 2077.26   | 2208.00                                    | 2236.00   | Vc Drill Pipe    |        | ft/min                             | LGS %              |                           | 5.45          | 5.42                                      | 6.49               | 5.50                                |             |                     |                     |  |  |
| Bit Depth m                             |       | 2230.00               | 2230.00   | 2337.00                                    | 2365.00   | Min Ann Velocity |        | LGS lb/bbl                         | 49.68              | 49.37                     | 59.11         | 50.14                                     |                    |                                     |             |                     |                     |  |  |
| Inc deg                                 |       | 22.89                 | 22.89     | 11.40                                      | 9.24      | AV Riser         |        | ft/min                             | HGS %              |                           | 4.78          | 4.94                                      | 4.33               | 4.82                                |             |                     |                     |  |  |
| Density ppg                             |       | 9.30                  | 9.30      | 9.30                                       | 9.30      | AV Casing        |        | ft/min                             | HGS lb/bbl         |                           | 70.30         | 72.78                                     | 63.72              | 70.94                               |             |                     |                     |  |  |
| Funnel Visc. sec/quart                  |       | 74.0                  | 84.0      | 89.0                                       | 82.0      | AV Open Hole     |        | ft/min                             | Avg Dens Sol sg    |                           | 3.3471        | 3.3635                                    | 3.2404             | 3.3470                              |             |                     |                     |  |  |
| Circ BHTdegF                            |       | 213.5                 | 213.5     | 188.0                                      | 180.0     | Bit Information  |        |                                    |                    |                           |               |                                           |                    |                                     |             |                     |                     |  |  |
| Flow Line Temp degF                     |       | 160.0                 | 160.0     | 160.0                                      | 160.0     | Size             |        | 12 1/4 in                          |                    |                           |               |                                           |                    |                                     |             |                     |                     |  |  |
| Test Temp degF                          |       | 95.0                  | 115.0     | 110.0                                      | 110.0     | Hours On Bit     |        |                                    |                    |                           |               |                                           |                    |                                     |             |                     |                     |  |  |
| Rheol Temp degF                         |       | 120.0                 | 120.0     | 120.0                                      | 120.0     | Bit Number       |        |                                    |                    |                           |               |                                           |                    |                                     |             |                     |                     |  |  |
| PV cP                                   |       | 31                    | 37        | 39                                         | 38        | BHA Number       |        | 8                                  | Rheology           |                           |               |                                           |                    |                                     |             |                     |                     |  |  |
| YP lbf/100ft^2                          |       | 14                    | 38        | 39                                         | 37        | Depth In         |        | 1250.00 m                          | 600 RPM            |                           | 76            | 112                                       | 117                | 113                                 |             |                     |                     |  |  |
| 10sec Gel lbf/100ft^2                   |       | 9                     | 15        | 14                                         | 14        | Bit RPM          |        |                                    | 300 RPM            |                           | 45            | 75                                        | 78                 | 75                                  |             |                     |                     |  |  |
| 10min Gel lbf/100ft^2                   |       | 13                    | 26        | 23                                         | 26        | WOB              |        | klbf                               | 200 RPM            |                           | 37            | 59                                        | 63                 | 57                                  |             |                     |                     |  |  |
| HTHP Filtrate cc                        |       | 3.9                   | 2.2       | 2.4                                        | 2.2       | Nozz             |        |                                    |                    |                           |               |                                           |                    |                                     |             |                     |                     |  |  |



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| Job# 1                                  |          | Spud Date 09/Nov/2006             |                                            |                        | MD 2382.00 m  |                                    | Progress 222.00 m     |                                           | Present Activity Drilling Formation |                                      |        |   |
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| Solids Control Equipment                |          |                                   |                                            |                        |               |                                    |                       |                                           |                                     |                                      |        |   |
| Name                                    | #        | Mfr                               | Hours hours                                | Screen Sizes           |               | Act Volume Lost bbl                |                       | Res Volume Lost bbl                       |                                     | Comments                             |        |   |
| CENTRIFUGE                              | 1        | SWACO                             | 4.0                                        |                        |               | 6.0                                |                       | 0.0                                       |                                     |                                      |        |   |
| CENTRIFUGE                              | 2        | SWACO                             | 0.0                                        |                        |               | 0.0                                |                       | 0.0                                       |                                     |                                      |        |   |
| DESANDER                                | 1        | SWACO                             | 0.0                                        |                        |               | 0.0                                |                       | 0.0                                       |                                     |                                      |        |   |
| DESILTER                                | 1        | SWACO                             | 0.0                                        |                        |               | 0.0                                |                       | 0.0                                       |                                     |                                      |        |   |
| MUD CLEANER                             | 1        | SWACO                             | 0.0                                        | 175, 210               |               | 0.0                                |                       | 0.0                                       |                                     |                                      |        |   |
| SHALE SHAKER                            | 1        | Brandt                            | 0.0                                        |                        |               | 0.0                                |                       | 0.0                                       |                                     |                                      |        |   |
| SHALE SHAKER                            | 1        | Derrick Equipments Co             | 24.0                                       | 3 x 175                |               | 4.0                                |                       | 0.0                                       |                                     |                                      |        |   |
| SHALE SHAKER                            | 2        | Brandt                            | 0.0                                        |                        |               | 0.0                                |                       | 0.0                                       |                                     |                                      |        |   |
| SHALE SHAKER                            | 2        | Derrick Equipments Co             | 24.0                                       | 3 x 175                |               | 4.0                                |                       | 0.0                                       |                                     |                                      |        |   |
| SHALE SHAKER                            | 3        | Derrick Equipments Co             | 24.0                                       | 3 x 175                |               | 4.0                                |                       | 0.0                                       |                                     |                                      |        |   |
| SHALE SHAKER                            | 3        | Brandt                            | 0.0                                        |                        |               | 0.0                                |                       | 0.0                                       |                                     |                                      |        |   |
|                                         |          |                                   |                                            | Total Volume Lost      |               | 18                                 |                       | 0                                         |                                     |                                      |        |   |
| Volumes                                 |          |                                   |                                            |                        |               |                                    |                       |                                           |                                     |                                      |        |   |
| Additions bbl                           |          |                                   | Losses bbl                                 |                        |               | Total Volumes bbl                  |                       |                                           |                                     |                                      |        |   |
| Mud Added                               | 300      | Weight Materials                  |                                            | Downhole               | 105           | Left In Pit                        |                       | Starting Volume                           | 2404.1                              | Riser w/o Pipe                       | 209.1  |   |
| Brine                                   |          | Water                             |                                            | Cased Off              |               | Trip Losses                        |                       | Daily Additions                           | 311.9                               | Casing w/o Pipe                      | 383.2  |   |
| Base Fluid                              |          | Product                           | 11.9                                       | Left In Hole           |               | Injected                           |                       | Daily Losses                              | 166                                 | Open Hole w/o Pipe                   | 743.7  |   |
| Recycled                                |          | Other                             |                                            | Discharged             |               | Spill To Environment               |                       | Ending Volume                             | 2550.0                              | String Displacement                  | 71.4   |   |
|                                         |          |                                   |                                            | SCE                    | 18            | Onshore Disposal                   |                       | Net Change                                | 145.9                               | String Capacity                      | 130.5  |   |
|                                         |          |                                   |                                            | Evaporation            | 21            | Returned                           |                       |                                           |                                     | Total Hole w/ Pipe                   | 1264.5 |   |
|                                         |          |                                   |                                            | Other Losses           | 22            |                                    |                       |                                           |                                     | Total Active                         | 1716.5 |   |
|                                         |          |                                   |                                            |                        |               |                                    |                       |                                           |                                     | Total Reserve                        | 834.0  |   |
| IADC Hours                              |          |                                   |                                            |                        |               |                                    |                       |                                           |                                     |                                      |        |   |
| Drilling Formation                      |          |                                   |                                            | 16                     | Rig Repair    |                                    |                       | 4                                         | Miscellaneous                       |                                      |        | 4 |
| Primary Currency USD                    |          |                                   |                                            | Secondary Currency     |               |                                    |                       | Totals USD                                |                                     |                                      |        |   |
| Daily Product Cost                      |          | 7892.32                           |                                            | Daily Product Cost     |               | 0.00                               |                       | Primary Product                           |                                     | 790009.64                            |        |   |
| Daily Tax                               |          | 0.00                              |                                            | Daily Tax              |               | 0.00                               |                       | Secondary Product                         |                                     | 0.00                                 |        |   |
| Debit/Credit                            |          | 0.00                              |                                            | Debit/Credit           |               | 0.00                               |                       | Primary Engineering                       |                                     | 54506.25                             |        |   |
| Daily Engineering Cost                  |          | 900.00                            |                                            | Daily Engineering Cost |               |                                    |                       | Secondary Engineering                     |                                     | 0.00                                 |        |   |
| Total Daily Cost                        |          | 8792.32                           |                                            | Total Daily Cost       |               | 0.00                               |                       | Primary Total                             |                                     | 844515.89                            |        |   |
| Total Inventory Value                   |          | 653859.72                         |                                            | Total Inventory Value  |               | 0.00                               |                       | Secondary Total                           |                                     | 0.00                                 |        |   |
|                                         |          |                                   |                                            |                        |               |                                    |                       | Deck Load                                 |                                     | 753394 lb                            |        |   |
| Products and Services                   |          |                                   |                                            |                        |               |                                    |                       |                                           |                                     |                                      |        |   |
| Product                                 | Units    | Start                             | Transferred In                             | Received               | Returned      | Lost                               | Daily Use             | Final                                     | Active Ending Concentrations lb/bbl | Reserve Ending Concentrations lb/bbl |        |   |
| Bulk                                    |          |                                   |                                            |                        |               |                                    |                       |                                           |                                     |                                      |        |   |
| MIL-BAR                                 | 1000 kg  | 135                               |                                            |                        |               |                                    |                       | 135                                       | 142.81                              | 126.77                               |        |   |
| Oil Based Product                       |          |                                   |                                            |                        |               |                                    |                       |                                           |                                     |                                      |        |   |
| CARBO-GEL                               | 25 kg    | 385                               |                                            |                        |               |                                    | 5                     | 380                                       | 4.46                                | 5.27                                 |        |   |
| MIL-LIME                                | 25 kg    | 100                               |                                            |                        |               |                                    | 40                    | 60                                        | 6.57                                | 1.78                                 |        |   |
| OMNI-COTE                               | 55 USgal | 10                                |                                            |                        |               |                                    |                       | 10                                        | 0.37                                | 0.32                                 |        |   |
| OMNI-MUL                                | 55 USgal | 18                                |                                            |                        |               |                                    | 2                     | 16                                        | 5.45                                | 2.29                                 |        |   |
| OMNI-PLEX                               | 55 USgal | 6                                 |                                            |                        |               |                                    |                       | 6                                         | 3.73                                | 2.79                                 |        |   |
| OMNI-TEC                                | 55 USgal | 16                                |                                            |                        |               |                                    | 2                     | 14                                        | 2.40                                | 1.16                                 |        |   |
| PARA-TEQ                                | 1 bbl    | 1271                              |                                            |                        |               |                                    |                       | 1271                                      |                                     |                                      |        |   |
| SYN-TEQ (PARA)                          | 1 bbl    |                                   |                                            |                        |               |                                    |                       |                                           |                                     |                                      |        |   |
| Water Based Product                     |          |                                   |                                            |                        |               |                                    |                       |                                           |                                     |                                      |        |   |
| CAUSTIC SODA                            | 25 kg    | 32                                |                                            |                        |               |                                    |                       | 32                                        |                                     |                                      |        |   |
| MIL-GUAR                                | 25 kg    | 50                                |                                            |                        |               |                                    |                       | 50                                        | 0.42                                | 0.25                                 |        |   |
| SOLUFLAKE                               | 25 kg    |                                   |                                            |                        |               |                                    |                       |                                           | 0.20                                |                                      |        |   |
| Xanthan Gum                             | 25 kg    | 39                                |                                            |                        |               |                                    |                       |                                           |                                     |                                      |        |   |